EsKrow+ Legal Feasibility

Can a Thai bank hold buyer funds in escrow? · 29 October 2026 · Team EsKrow+

Verdict

Feasible. A Thai commercial bank can legally hold a buyer's money and release it to the seller once agreed conditions are met. The legal basis is the **Escrow Act B.E. 2551 (2008)**, amended in **B.E. 2562 (2019)**, together with **Bank of Thailand Notification FPG. 1/2554**.

The 2019 amendment is what makes EsKrow+ fit. Escrow is no longer limited to property deals: any reciprocal contract qualifies, including a social-commerce sale. The bank may also hold and release money **without taking part in transferring ownership** of the goods.

KBank still needs Ministry of Finance permission and must notify the BOT before launch. Every deal goes through escrow and needs an escrow contract signed by both sides and the bank.

The law in its own words

The official title is **พระราชบัญญัติการดูแลผลประโยชน์ของคู่สัญญา พ.ศ. ๒๕๕๑** (Escrow Act B.E. 2551), Royal Gazette Vol. 125, Part 36 Kor, 20 February 2008. Thai wording is quoted from the Royal Gazette; English from the Office of the Council of State's unofficial translation.

มาตรา ๕ — any reciprocal contract can use escrow

> "ในการทำสัญญาต่างตอบแทนใด ๆ คู่สัญญาอาจตกลงกันจัดให้มีผู้ดูแลผลประโยชน์ของคู่สัญญาโดยการทำสัญญาดูแลผลประโยชน์"
>
> *"In entering into any reciprocal contracts, the parties to the contract may agree to have the escrow agent by way of entering to an escrow contract."*

A social-commerce sale is a reciprocal contract: the seller delivers goods, the buyer pays.

มาตรา ๖ — both buyer and seller must sign

> "สัญญาดูแลผลประโยชน์ต้องทำเป็นหนังสือลงลายมือชื่อของคู่สัญญาและผู้ดูแลผลประโยชน์ของคู่สัญญา"
>
> *"The escrow contract must be made in writing, signed by the parties to the contract and the escrow agent."*

The contract must also state the release rules: "(๕) หลักเกณฑ์ในการโอนเงินออกจากบัญชีดูแลผลประโยชน์" (rules for transfer of money from the escrow account).

มาตรา ๑๐ — banks are eligible

> "ผู้ซึ่งประสงค์จะได้รับใบอนุญาตตามมาตรา ๙ ต้องเป็นสถาบันการเงิน หรือนิติบุคคลอื่นตามที่กำหนดในกฎกระทรวง"
>
> *"The person who wishes to obtain the license under section 9 must be a financial institution or other juristic persons as prescribed in the Ministerial Regulation."*

มาตรา ๑๔ — escrow money is kept apart from the bank's own

> "ผู้ดูแลผลประโยชน์ของคู่สัญญาต้องจัดเก็บทรัพย์สินของคู่สัญญาแยกออกจากทรัพย์สินของตน"
>
> *"The escrow agent shall keep the property of the party to the contract separated from his or her property."*

มาตรา ๒๓ — a dispute freezes the money, unless the contract says otherwise

> "เว้นแต่ในสัญญาดูแลผลประโยชน์จะกำหนดไว้เป็นอย่างอื่น ในกรณีที่มีข้อโต้แย้งเกิดขึ้น … ห้ามผู้ดูแลผลประโยชน์ของคู่สัญญาส่งเงินหรือโอนทรัพย์สินให้แก่คู่สัญญาฝ่ายใดฝ่ายหนึ่งจนกว่าคู่สัญญาจะได้ทำความตกลงกัน หรือศาลมีคำพิพากษาถึงที่สุด"
>
> *"Unless otherwise stipulated in the escrow contract, where there is a dispute … the transfer of money or property to the other party by the escrow agent shall be prohibited until the parties to the contract make an agreement or there is a final judgment of the Court."*

This is the most important clause for EsKrow+: without a dispute rule written into the contract, any disputed order could sit frozen until a court rules.

มาตรา ๒๕ — protected if the agent fails

Money in the escrow account "ได้รับความคุ้มครองโดยไม่ถือเป็นทรัพย์สินที่อยู่ภายใต้การยึดหรืออายัด" — it cannot be seized or shared among creditors if the escrow agent goes bankrupt.

The 2019 amendment — the Escrow Act (No. 2) B.E. 2562, in force 15 April 2019, repealed the narrow definition of "คู่สัญญา" so all reciprocal agreements qualify. It also lets the agent hold and transfer money on the parties' request without handling the transfer of ownership.

What the law requires vs. what EsKrow+ does

Most legal duties are already covered by the brief's design. Three need new work: seller sign-up, a written dispute rule, and the licence itself.

Legal requirement	Section	EsKrow+ today	Action
Escrow licence from the Minister of Finance; operating without one is fined up to THB 1,000,000	ม.๙, ม.๔๔	Not addressed	KBank applies, or confirms its existing licence covers this product
Written contract signed by buyer, seller and the bank	ม.๖	Seller creates the deal (item, price, buyer, shipping address); both accept, each by a live face scan	Both sides e-sign in K PLUS; confirm e-signature satisfies ม.๖ under the Electronic Transactions Act B.E. 2544
Contract states delivery conditions and release rules	ม.๖(๔), (๕)	Policy-Based Authorization; the buyer checks the shipment ID and confirms	Show the release policy to both sides as contract terms
Deposit into escrow account within one business day; receipt to payer; notify the other side immediately	ม.๑๗	ESCROW step	Auto e-receipt to buyer, push notice to seller
Escrow money separated from the bank's own, with a ledger per party	ม.๑๔	Separate from normal K PLUS transfers	Per-deal sub-ledger
Release money plus any interest (ดอกผล) directly to the entitled party's account and notify them	ม.๑๙, ม.๒๐	RELEASE: pay out or refund	Pass interest through, or agree in the contract how it is handled
Dispute freezes funds unless the contract sets another rule	ม.๒๓	"Transparent, auditable dispute process"	Write the release, expiry, buyer-report and no-agreement rules into the contract (proposed wording below)
Keep contract records at least 5 years; electronic form allowed	ม.๑๓	Tamper-evident audit log	Set retention to 5+ years
Fees may not be taken from the escrow account; split equally unless agreed	ม.๘	"Future fee-based models"	Charge fees separately from the held amount
Agent may not act for a party it has an interest in	ม.๑๒	Not addressed	Ask the Escrow Committee whether KBank being a party's bank counts
Staff who embezzle or forge escrow records face up to 5 years' prison	ม.๔๘	Zero-Trust Admin, Dual Approval, RBAC	Strong fit: present as the control for this risk
Board-approved operating plan sent to the BOT 30 days before launch	BOT FPG. 1/2554, 5.2.2–5.2.3	Security architecture in the brief	Use the brief's controls as the plan's risk section

Release and refund rules

The buyer releases the money after checking the shipment herself; the bank does not verify tracking numbers. Every deal goes through escrow, whatever the risk check finds. Every outcome follows a rule both sides signed (ม.๖(๕)), and the money goes directly to the entitled party (ม.๒๐).

1. Within 48 hours of payment, the seller ships the goods and enters the carrier's shipment ID in K PLUS. The bank passes it to the buyer as entered and does not check it with the carrier.
2. The app notifies the buyer, who looks the ID up with the carrier and compares it with the address and recipient in the contract. One tap confirms, and the money is paid to the seller.
3. If the buyer neither confirms nor reports within 24 hours of receiving the ID, the money is paid to the seller.
4. If no shipment ID arrives within 48 hours, the contract expires and the money is refunded to the buyer's paying account.

5. If the buyer reports a problem before payment, with a reason and a photo, the money stays held. The two sides can settle in the app: cancel, partial refund or reship.
6. If they can't agree, the bank sends an Evidence Pack to AOC 1441 / police. The money stays held, for up to about 7 days for an authority order, then frozen until the parties agree or a court rules.

The buyer's tap, and any settlement, is the parties agreeing, which ม.๒๓ recognises. For silence and for a missing shipment ID the contract sets the rule, which ม.๒๓ allows ("unless otherwise stipulated"). A reported deal with no agreement falls back to ม.๒๓ itself: the money stays frozen. The bank never decides who is right.

Proposed contract wording (for KBank legal to review):

> **Release.** The escrow money is paid to the seller when the buyer confirms the shipment in the app, or 24 hours after the seller's shipment ID is sent to the buyer if the buyer neither confirms nor reports a problem.
>
> **Expiry and refund.** If the seller does not enter a shipment ID within 48 hours of payment, this contract expires and the escrow money is returned to the buyer's paying account.
>
> **Buyer report.** If the buyer reports a problem before release, giving a reason and supporting evidence, the money stays held. The parties may agree to cancel, partially refund or reship, and the bank pays out as agreed.
>
> **No agreement.** If the parties do not agree, the bank may send the deal records to the competent authorities, and the money stays held until the parties agree, a competent authority orders otherwise, or a court rules.

Risk	What the law says	How EsKrow+ handles it
Seller says "I did ship" but never enters an ID	ม.๒๓: a dispute freezes the money "unless otherwise stipulated in the escrow contract"	Only a shipment ID entered within 48 hours counts. No ID means the contract expires and the buyer is refunded
Seller enters a fake or someone else's tracking number	ม.๖(๕): the contract sets the release rules	The buyer compares it with the contract before confirming and can report. The money stays held, and the Evidence Pack goes to AOC 1441 / police
Buyer stays silent to hold up payment	ม.๖(๕), as above	Paid to the seller 24 hours after the shipment ID is sent
Buyer reports a correct shipment to stall payment	ม.๒๓: no agreement means the money stays frozen	A reason and a photo are required, and report history counts in the buyer check. An honest seller can still be held up until settlement or a ruling
Buyer confirms without checking, and the parcel never arrives	Once paid under ม.๒๐ the money is the seller's; getting it back is a claim or criminal case against the seller	The confirm screen shows the contract's address and recipient beside the shipment ID and says the money goes to the seller now. Reports after payment go to the fraud team. Recovery is not guaranteed
The in-app contract is challenged as unfair	The contract is a สัญญาสำเร็จรูป (standard form). Under the Unfair Contract Terms Act B.E. 2540 ม.๔, a term giving the drafter an unreasonable advantage is enforced only as far as is fair	Same rules for every deal and both sides. The bank makes no judgement on disputes and cannot release a disputed deal on its own
Refund after expiry, but the seller had shipped and forgot to enter the ID	Civil and Commercial Code ม.๔๐๖: whoever receives something without legal ground must return it	The seller can claim the money back from the buyer. The audit log proves the bank followed the contract
A "refund" or settlement used to move money to a third party	ม.๒๐ requires payment directly to the entitled party; AML rules apply	Refunds and settlements go only to the account that paid

The 48-hour and 24-hour periods are proposals. Paying the seller at the buyer's confirmation, not at delivery, is a team decision: honest sellers are paid sooner, but a parcel that never arrives after confirmation is no longer protected by escrow. The bank does not verify tracking numbers, to keep third-party integrations to a minimum; the buyer's own check is the safeguard.

Path to launch

KBank needs four regulatory steps before the first deal, and the BOT step needs at least 30 days' notice.

1. **Escrow licence (ม.๙).** Confirm whether KBank already holds one for its property escrow. If not, apply to the Minister of Finance through the Escrow Regulation Committee; the Fiscal Policy Office is its secretariat (ม.๒๗).
2. **Board-approved operating plan.** It must cover policy and procedures, risk management and internal controls, staff readiness, and compliance audit (BOT FPG. 1/2554, 5.2.3).
3. **BOT notice or approval.** A bank whose latest audit rated operational risk low to average sends the plan to the BOT at least 30 days before launch. A higher-risk bank needs BOT approval first (5.2.2).
4. **BOT permission for extra services.** EsKrow+ no longer verifies tracking numbers, but the risk check and the Evidence Pack may still count as "other services" under ม.๗ วรรคสอง, which need BOT permission before use (5.2.1(2)).
5. **Standard in-app escrow contract.** It must contain the eight items listed in ม.๖, including release rules, fees, and each side's rights and duties.
6. **Pilot with a small user group**, then scale.

Other Thai laws that touch EsKrow+

None of these blocks the idea. The technology crime decree works in EsKrow+'s favour.

Law	What it means for EsKrow+
Emergency Decree on Measures for the Prevention and Suppression of Technology Crimes (amended, in force 13 April 2025)	Operators, including financial institutions, can be jointly liable for scam losses unless they prove they met their regulator's standards. Accounts flagged by the government's anti-tech-crime centre must be suspended. EsKrow+'s risk check supports the safe harbour; a flagged seller's deal should move straight to refund.
Electronic Transactions Act B.E. 2544	Basis for signing the ม.๖ escrow contract inside K PLUS instead of on paper. Legal should confirm the signing method meets its standard.
Personal Data Protection Act B.E. 2562 (PDPA)	Tracking numbers, delivery addresses, device and behaviour signals are personal data. Needs a lawful basis and a privacy notice, plus a legal basis for sending Evidence Packs to AOC 1441 / police. The buyer check result is never shown to the seller. The risk check queries the police criminal-record database; criminal records are sensitive data under ม.๒๖, so it needs a specific legal basis and the result itself must never be shown to the buyer. Live face scans are biometric data under ม.๒๖ too. No data goes to couriers.
Anti-Money Laundering Act B.E. 2542	Sellers who receive payouts must be identified and screened; suspicious deals reported to AMLO. Fits the RISK CHECK step.
Payment Systems Act B.E. 2560	Run inside KBank, the bank's existing supervision should apply. A non-bank subsidiary would likely need its own licence (not verified).

Open questions for KBank legal and compliance

- ☐ Does KBank's existing escrow licence cover a consumer social-commerce product, or is a new filing needed?
- ☐ Does an in-app click-to-sign meet ม.๖'s "ทำเป็นหนังสือลงลายมือชื่อ" (in writing and signed)?
- ☐ Do the risk check and the Evidence Pack count as an "other service" under ม.๗ วรรคสอง that needs separate BOT permission?
- ☐ Are the proposed release and refund rules fair under the Unfair Contract Terms Act, and are 48 hours to ship and 24 hours to confirm the right periods?
- ☐ What legal basis lets the bank query the police criminal-record database about a seller, and what may it tell the buyer?
- ☐ How long may a reported deal stay held before the Evidence Pack goes out, and what happens to the money if no authority order or court case follows?
- ☐ If police, AMLO or the anti-tech-crime centre freezes a party's money, how does that order apply to funds already in escrow?
- ☐ Does KBank count as having an interest (ม.๑๒) when the seller is also a KBank customer?
- ☐ Has the Escrow Committee capped fees under ม.๘, and how must fees be disclosed?
- ☐ Phase 1 is KBank customers only. For phase 2, can sellers who bank elsewhere, paid out via PromptPay, be parties, and what KYC applies to them?

Sources

- พระราชบัญญัติการดูแลผลประโยชน์ของคู่สัญญา พ.ศ. ๒๕๕๑ — Royal Gazette text (Fiscal Policy Office)
- Escrow Act B.E. 2551 — unofficial English translation (Office of the Council of State, via Fiscal Policy Office)
- BOT Notification FPG. 1/2554: Permission for Commercial Banks to Operate Escrow Services
- LawPlus: Escrow Agents Act (No. 2) B.E. 2562
- Tilleke & Gibbins: Thailand Amends Emergency Decree on Technology Crime
- พระราชบัญญัติว่าด้วยข้อสัญญาที่ไม่เป็นธรรม พ.ศ. ๒๕๔๐ (Unfair Contract Terms Act), full text
- Civil and Commercial Code section 406, unofficial English translation (ThaiLawOnline)

Quotes are from the original 2008 text; the 2019 amendment changed ม.๓ and the agent's duties, so check the current consolidated text before filing. Feasibility research for the K PLUS Smart Life Assistant Challenge, not legal advice.